Burgers, Lipstick & Underwear

What Strange Indicators Really Tell Us About the Economy

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ISBN, publisher imprint, edition details and pricing to be assigned before final submission.

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Chapter 1 — The Measure You Can Eat

The Big Mac is a ridiculous ambassador for international economics, which is probably why it works.

It is not elegant. It does not have the solemn look of an equation. It arrives in a box, sheds lettuce, smells faintly of industrial certainty and can be eaten by a person who has no desire to discuss purchasing power parity over lunch. Yet for decades it has done something most macroeconomic explanations fail to do: it has made exchange-rate theory digestible in under a minute.

The idea is famous because it is almost offensively simple. If the same product is sold in many countries, compare its price across those countries. Convert the local price into a common currency. Ask whether the result looks cheap or expensive relative to the exchange rate. The Economist has published the Big Mac Index since the 1980s and now maintains public data and calculation code for it, including local prices, exchange rates and GDP-adjusted variants. [note 1]

That does not make the burger a perfect model. It makes it a very good door.

Purchasing power parity is one of those ideas that sounds worse than it is. In plain English, it asks whether money buys the same amount of stuff in different places. If a product costs much more in one country than another after exchange-rate conversion, something interesting may be happening: the currency may be overvalued or undervalued, local costs may differ, taxes may bite, wages may be different, competition may be weak, or the product may simply occupy a different place in local culture.

The Big Mac works because it turns that whole mess into a sandwich.

This is not because McDonald's is economically pure. Quite the opposite. A Big Mac is full of local contamination: rents, wages, advertising costs, supply chains, taxes, market strategy and the strange social role of eating American fast food in a given city. That contamination is the point. The burger is not a laboratory object. It is a small commercial animal living in the real world.

If the index were a perfect measurement instrument, it would be less interesting. Its value lies in being rough, memorable and surprisingly revealing. It is close enough to the economic idea to teach it, and familiar enough for people to care.

But the same qualities invite abuse.

The first abuse is treating the burger as a currency oracle. A Big Mac price can suggest that a currency looks cheap or expensive against another. It cannot tell a trader what to do on Tuesday morning. It cannot replace a central bank model, a current-account analysis, a productivity comparison or a serious inflation measure. A burger is not a portfolio strategy. Anyone who says otherwise should probably be kept away from both economics and lunch.

The second abuse is pretending the product is identical everywhere in every relevant sense. It is standardized enough to be useful, but not metaphysically identical. Ingredients, taxes, labor costs, regulation, market positioning and local demand differ. In some countries, McDonald's is everyday food; in others, it is a more expensive international brand. A product can be the same menu item and still carry different social meaning.

The third abuse is forgetting coverage. The Big Mac Index only exists where the product exists and where data can be collected. A global index built around one company's sandwich has obvious holes. Those holes do not destroy it. They define its scope.

This is where strange indicators become interesting. The Big Mac Index is not important because burgers secretly run the global economy. It is important because it demonstrates the minimum viable magic of a good proxy:

- the object is familiar;
- the method is explainable;
- the comparison is portable;
- the limitations are obvious enough to discuss;
- the result invites argument rather than obedience.

That last point matters. Good indicators do not end thought. They start better arguments.

A burger tells the reader: here is one way to see purchasing power. It does not say: here is the final answer. It gives the mind a hook. Once the hook is in place, the heavier machinery can arrive: exchange rates, local wages, non-tradable services, production costs, inflation and income levels. The strange measure has done its job if the reader is now willing to follow the serious idea.

Other consumer-object indices try to borrow the same trick. A Starbucks latte can compare a familiar urban indulgence across places. An IKEA Billy bookcase can turn furniture into a price-level signal. These examples are charming because they are concrete. They are also noisy. A latte is not just milk, coffee and rent. It is brand positioning, city-center foot traffic, wage structure and the cultural willingness to pay too much for hot liquid in a paper cup. A bookcase is not just wood or particleboard; it is shipping, retail strategy and local tax. [note 2] [note 3]

The temptation is to keep adding objects until a proper basket appears: burgers, lattes, haircuts, taxis, hotel rooms, furniture, phones. In one sense, this is progress. A basket is generally more robust than a single product. In another sense, the charm begins to leak away. The more complete the basket becomes, the closer it moves toward official price statistics. The strange measure becomes less strange and more correct. That may be better for analysis, but worse for memory.

There is a tradeoff here that runs through the whole book. A single object is vivid but fragile. A full basket is robust but dull. The art is knowing which job you are asking the measure to do.

If the job is formal policy, do not use a cheeseburger as your main instrument. If the job is to make a person understand purchasing power in one clean motion, the cheeseburger has earned its ridiculous little crown.

That is the first lesson: a strange index is a translation device before it is a measurement device.

The best translation is not always the most complete. It is the one that gets enough of the meaning across before the listener walks away.

The Big Mac Index survives because it gives abstraction a bite mark. It takes the elegant but bloodless idea of purchasing power parity and gives it pickles. It also lowers the entry fee to argument. A reader cannot personally audit a national price basket before breakfast, but they can imagine the burger, ask whether McDonald's is expensive locally and disagree with the measure without being excluded from the conversation.

That is the best defense of popular measures. They are not perfect; they are invitations to better questions. The alternative is not a population calmly absorbing full methodology notes. The alternative is often no understanding at all.

The Big Mac creates several. Why does the same product cost different amounts in different countries? Why do exchange rates not equalize the experience of buying things? Why do local wages, rents and taxes matter? Why does a product's cultural status affect price? Why does a single object teach more quickly than a full basket?

Those are not childish questions. They are the right questions with ketchup on them.

The burger also reveals a hidden aesthetic rule of good indices: the unit should be slightly embarrassing. Not humiliating, just disarming. A measure that looks too official can intimidate the reader into passive acceptance. A measure that looks slightly absurd invites inspection.

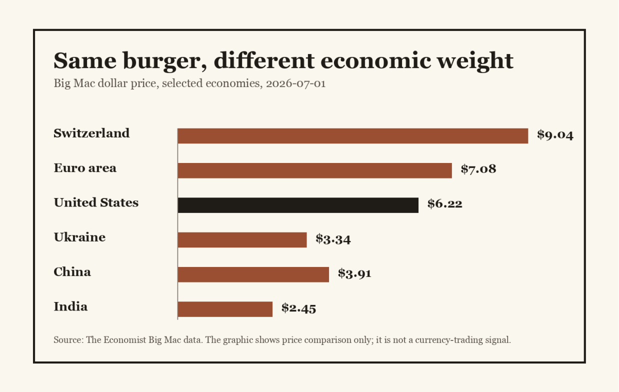

Figure 1. Big Mac dollar prices in selected economies, using The Economist data.

Notes

Note 1 — Data and methodology for the Big Mac index; The Economist; github.com/TheEconomist/big-mac-data **Note 2 —** Understanding the Starbucks Index; Investopedia; www.investope
index.asp **Note 3 —** Owner-supplied unusual indices research source pack; Owner / ABVX; books/source-packs/unusual-indices-book-source-pack.json